

average of roughly 13% over the year to come. By early 2000, their average expected return had jumped to more than 18%.

- “Sophisticated professionals” were just as bullish, jacking up their own assumptions of future returns. In 2001, for instance, SBC Communications raised the projected return on its pension plan from 8.5% to 9.5%. By 2002, the average assumed rate of return on the pension plans of companies in the Standard & Poor’s 500-stock index had swollen to a record-high 9.2%.
 - A quick follow-up shows the awful aftermath of excess enthusiasm:
- Gallup found in 2001 and 2002 that the average expectation of one-year returns on stocks had slumped to 7%—even though investors could now buy at prices nearly 50% lower than in 2000.^{[2](#)}
- Those gung-ho assumptions about the returns on their pension plans will cost the companies in the S & P 500 a bare minimum of \$32 billion between 2002 and 2004, according to recent Wall Street estimates.

Even though investors all know they’re supposed to buy low and sell high, in practice they often end up getting it backwards. Graham’s warning in this chapter is simple: “By the rule of opposites,” the more enthusiastic investors become about the stock market in the long run, the more certain they are to be proved wrong in the short run. On March 24, 2000, the total value of the U.S. stock market peaked at \$14.75 trillion. By October 9, 2002, just 30 months later, the total U.S. stock market was worth \$7.34 trillion, or 50.2% less—a loss of \$7.41 trillion. Meanwhile, many market pundits turned sourly bearish, predicting flat or even negative market returns for years—even decades—to come.

At this point, Graham would ask one simple question: Considering how calamitously wrong the “experts” were the last time they agreed on something, why on earth should the intelligent investor believe them now?

What’s Next?